PPS Finance Focus

Updates and Outreach



PORTLAND
Public Schools

October 14,2025

DISTRICT INFORMATION

LARGEST DISTRICT IN OREGON

NUMBER OF SCHOOLS

45 ELEMENTARY		10 HIGH
11 K-8	14 MIDDLE	1 K-12

BOARD MEMBERS

Zone 1
Christy Splitt

Zone 2
Michelle DePass (Vice-Chair)

Zone 3
Patte Sullivan

Zone 4
Rashelle Chase-Miller

Zone 5
Virginia La Forte

Zone 6
Stephanie Engelsman

Zone 7
Edward (Eddie) Wang (Chair)

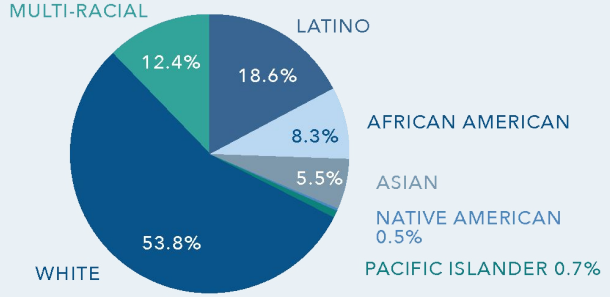
Student Representative
Ian Ritorto

STUDENT ENROLLMENT*

44,086 TOTAL

41,630 STUDENTS IN DISTRICT SCHOOLS	794 STUDENTS IN COMUNITY BASED PROGRAMS	356 STUDENTS IN SPECIAL SERVICES PROGRAMS	1,306 STUDENTS IN PUBLIC CHARTER SCHOOLS

STUDENT INFORMATION



RECEIVE ESL SERVICES
10%

ELIGIBLE FOR FREE MEALS via direct certification
31.3% 2023-24 school year

RECEIVE SPED SERVICES
17%

District Continuous Improvement Plan GOAL AREAS

- ATTENDANCE
- LITERACY
- MATH
- 9th Grade SUCCESS

*Numbers are approximate


PPS
TOGETHER,
WE RISE
WITH EXCELLENCE. WITH PURPOSE.

Finance Focus Topics

- PERS Advisory Rates for 2027-29 released September 26, 2025
- Preliminary Budget Development
- Budget Video Series
- Looking Ahead



PERS Employer Rates

- September 26 PERS Board Meeting
- Preliminary Advisory Rates for the 2027-2029 biennium
- Increase anticipated for employers with expiring Side Accounts (2002, 2003)
- Milliman will release individual employer advisory rates in December

12/31/2024[1] Valuation 2027 – 2029 Advisory Rates		
Payroll		
Tier One / Tier Two	OPSRP	Weighted Average[2]
31.74%	27.28%	28.22%
(2.40%)	(0.65%)	(0.95%)
29.34%	26.63%	27.27%
(2.20%)	(2.20%)	(2.20%)
27.14%	24.43%	25.07%
4.31%	4.78%	4.62%

Preliminary Budget Development

- Analyzing pre-pandemic staffing and enrollment to current state
- Comparing PPS to like-size Districts for operations
- Budget team meeting with departments and schools on current staffing and future strategic modeling



Video Series

- Improve understanding and engagement in the budget process
- Includes information about operations and staffing costs, including compensation and benefits
- Will be featured on a budget engagement web page
- Special thanks to the communications and budget teams for development!



Looking Ahead

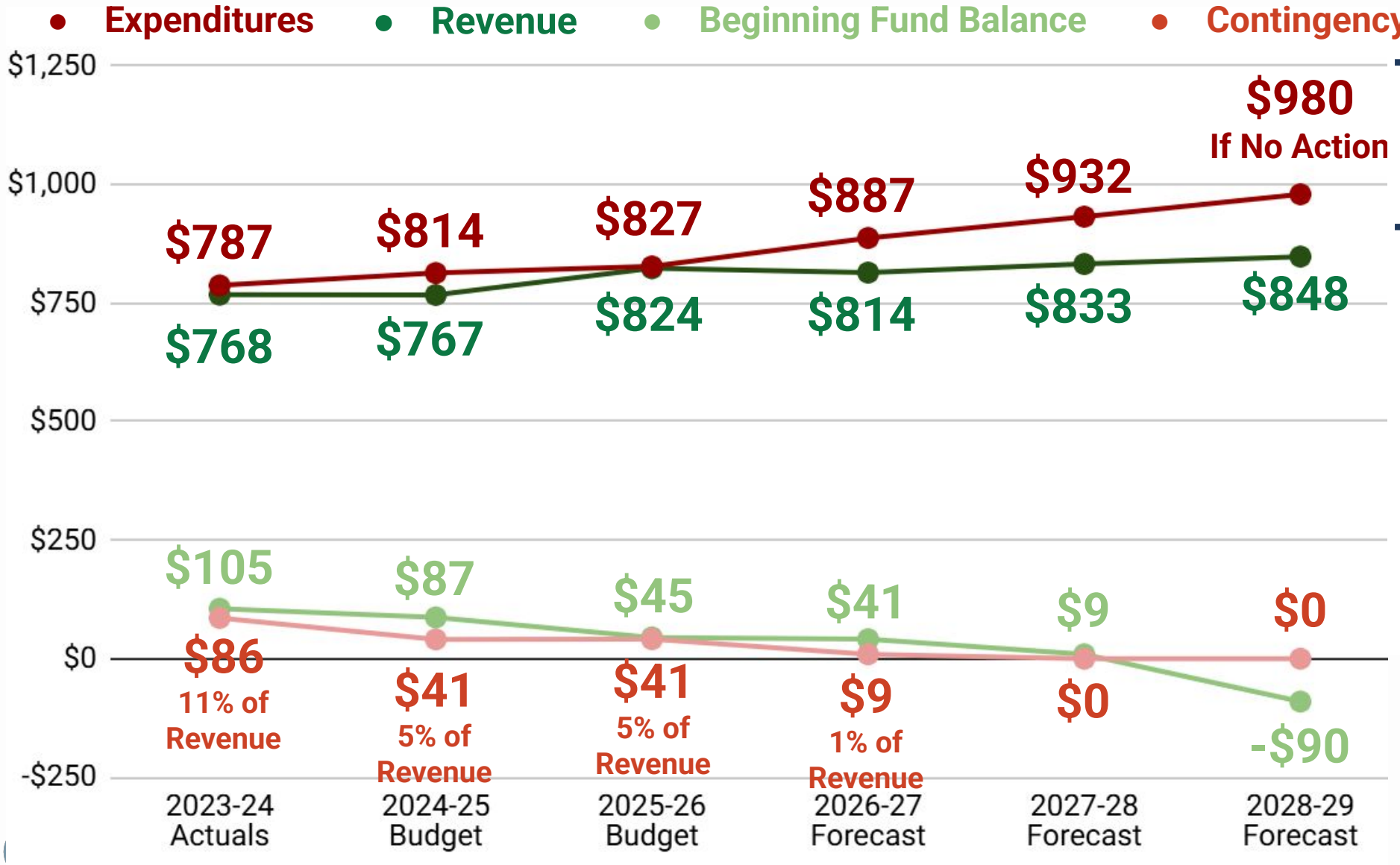
- 2024-25 Fourth Quarter Report
- 2025 Multnomah County Tax Rolls
- 2025-26 Updated Projections
- State Revenue Forecast (November)
- PERS 2027-29 Individual Employer Rates (December)



Questions?

Michelle Morrison
Chief Financial Officer
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2025-26 Projected General Fund (In Millions)

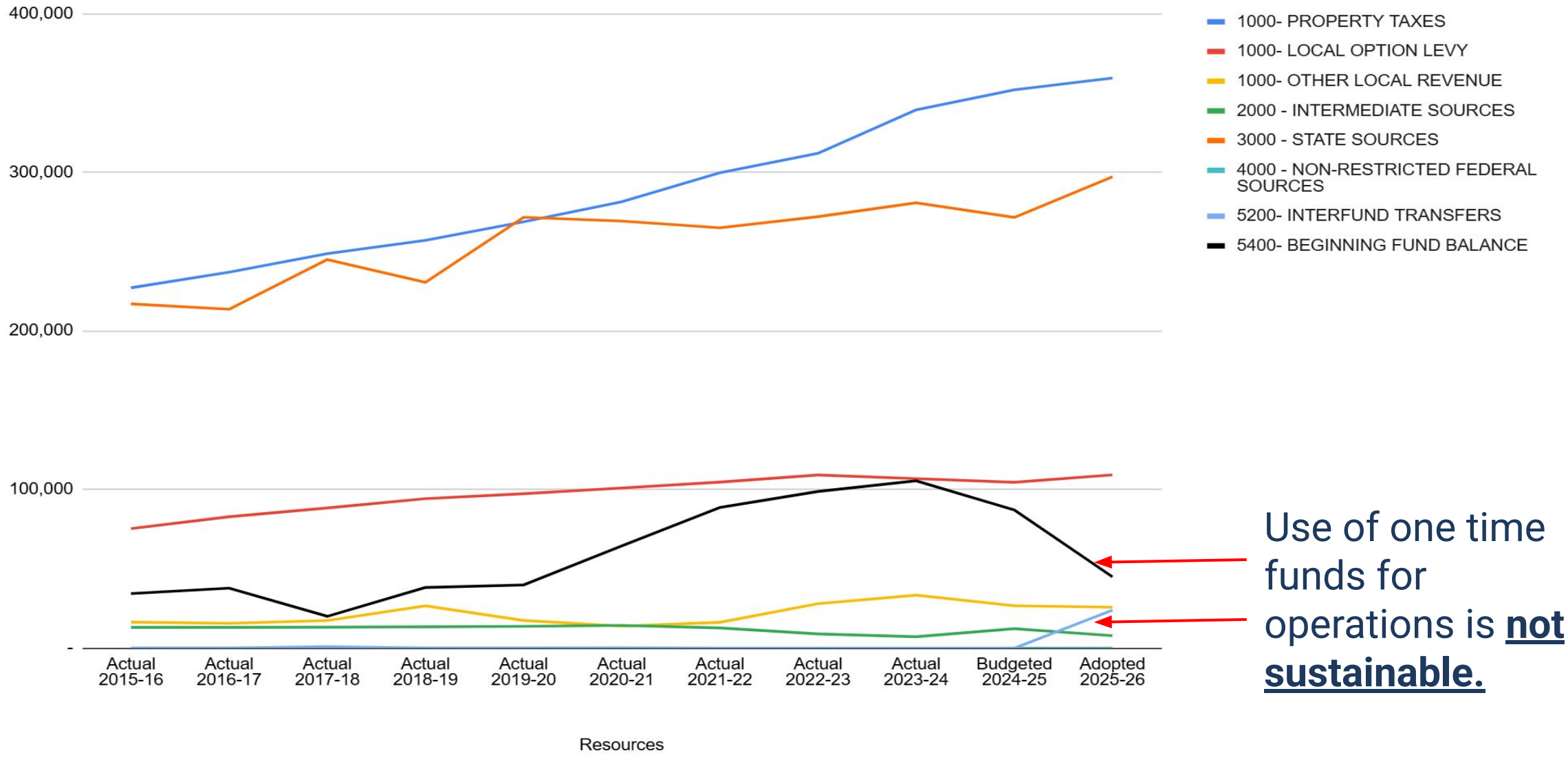


→ Expenses are increasing while revenue declines.

→ If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

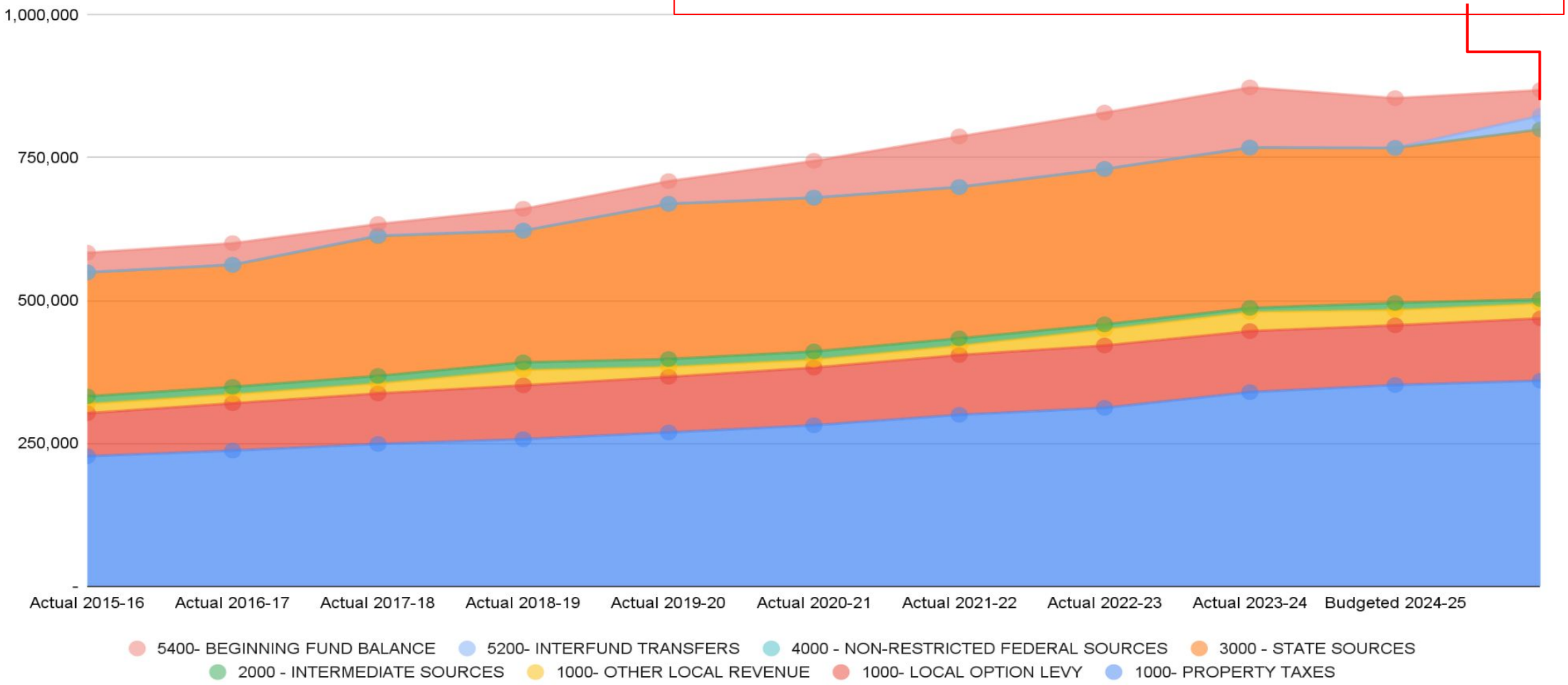
2015-16 to 2025-26 General Fund Revenue (In Thousands)



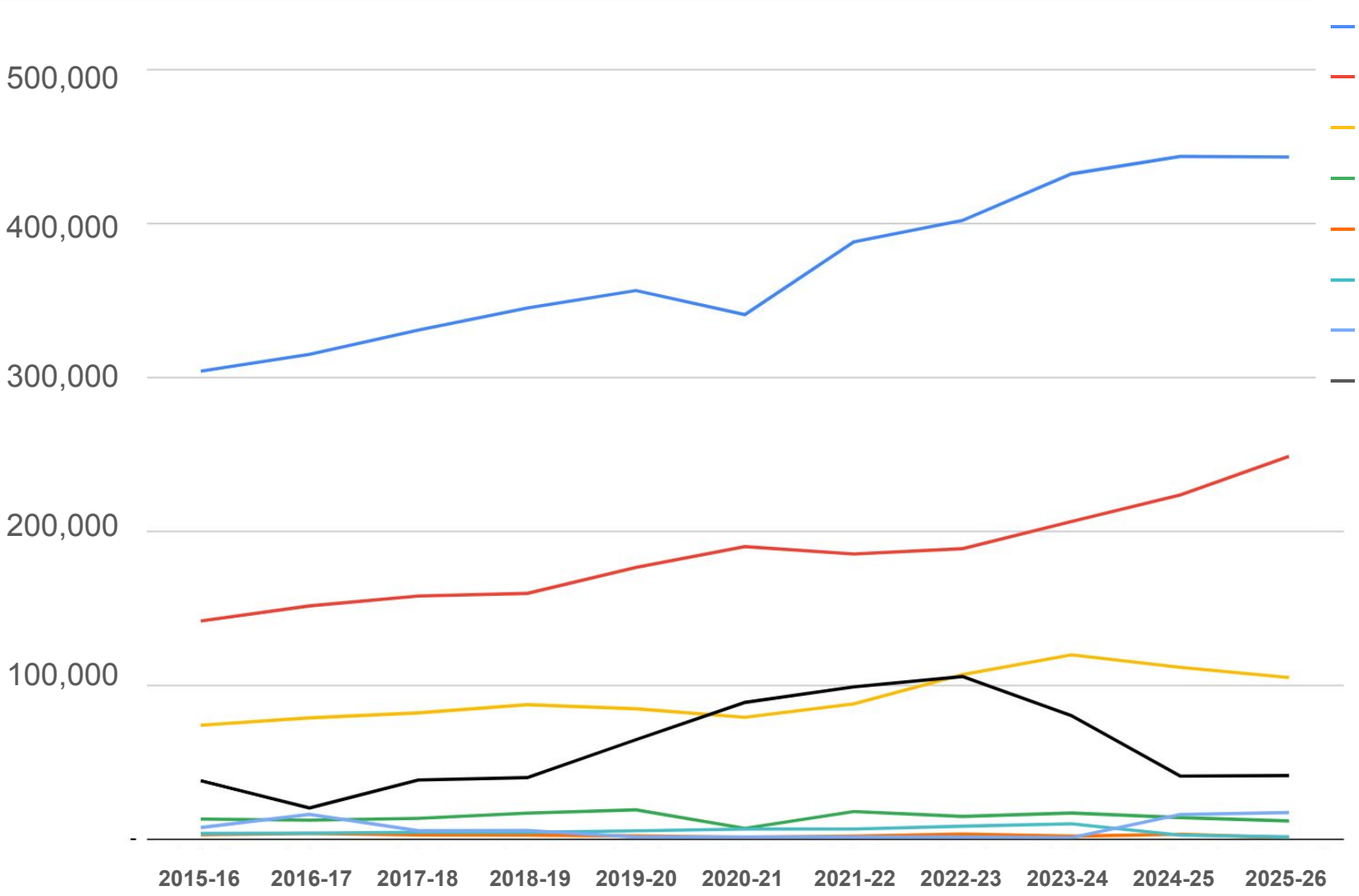
Use of one time funds for operations is **not sustainable.**

2015-16 to 2025-26 General Fund Revenue (In Thousands)

2025-26 transfer of full reserves as fund balance reached the minimum.

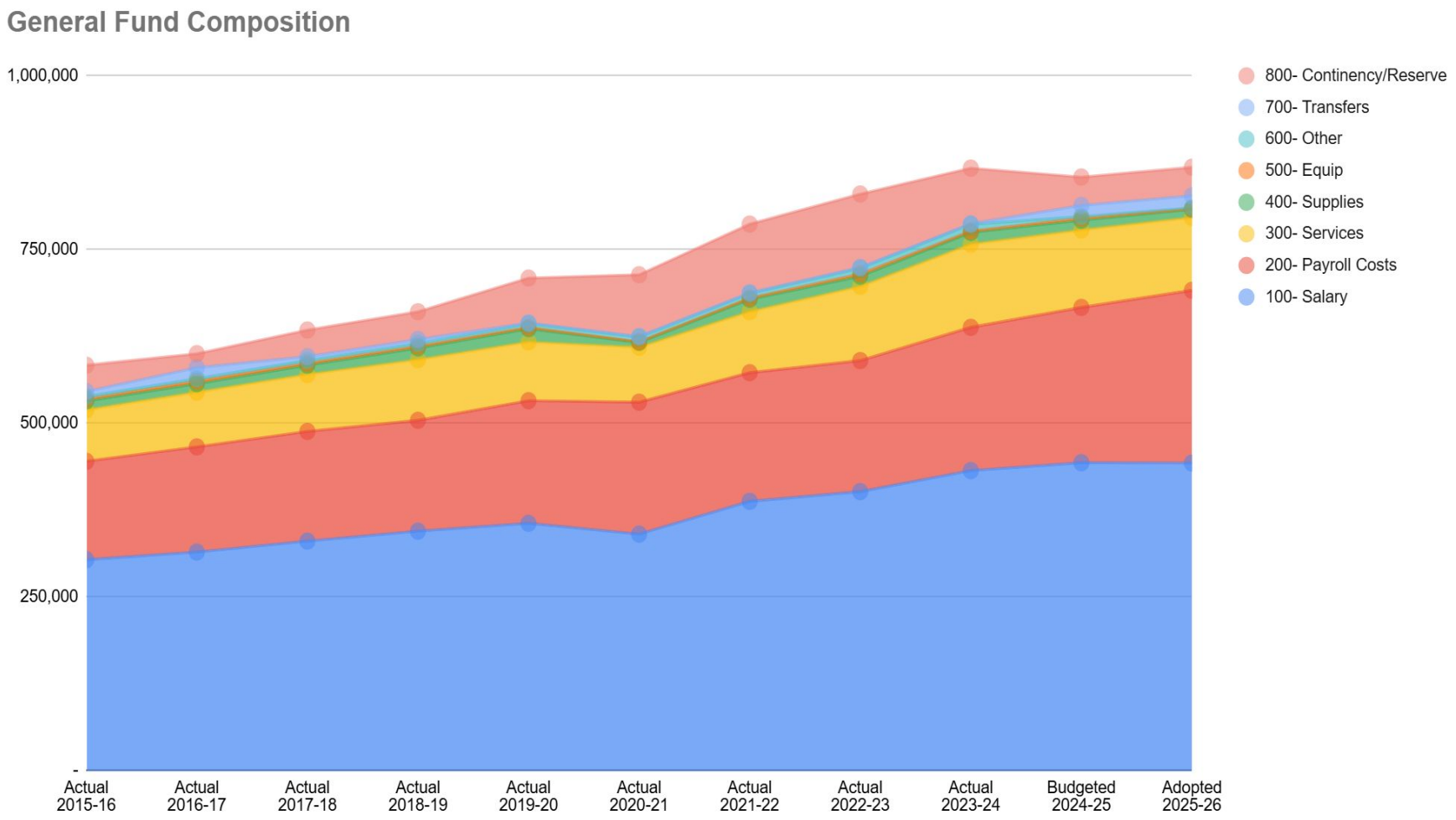


2015-16 to 2025-26 General Fund Expenses (In Thousands)



- ➔ Expenses for staffing have been rising, even with reductions to FTE
- ➔ Contingency has been reduced to the minimum target of 5%
- ➔ Contingency funds are one-time and should not be used for regular staffing or operations

2015-16 General Fund Spending Stacked (In Millions)



- Expenses for staffing have been rising, even with reductions to FTE
- Note: contingency has been reduced to the minimum target of 5%
- Contingency funds are one-time and should not be used for regular staffing or operations

DRAFT: Estimates are preliminary.

Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts